CORPORATE LAWS & PRACTICES

Suggested Answers
November-December 2024

Answer to the Question# 1(a):

The concept of "Separate Legal Personality" is fundamental in company law, recognizing that a company is a distinct legal entity with its own rights and obligations. A company is defined as a legal entity separate from its directors and shareholders. This recognition grants the company its own legal personality, enabling it to acquire rights and incur obligations that are separate from those of its directors and shareholders. This separate legal personality is established upon the company's registration and grants it the same legal powers and capacities as an individual, with exceptions for cases where a juristic person is incapable or where the Constitution (MOA & AOA) states otherwise. While this privilege is fundamental, it is not absolute and will not be upheld in cases of abuse, as indicated by developments in common law and legislation.

Salomon v Salomon, a landmark case, solidified the principle that a company is separate from its shareholders and directors. The case involved Mr. Salomon, who owned almost all the shares in his company. When the company faced liquidation, the liquidator argued that Mr. Salomon and the company were one and the same, making him personally liable for the company's debts. However, the House of Lords ruled in favor of Mr. Salomon, upholding the concept of separate legal personality. This ruling protected shareholders and directors from personal liability for the company's obligations, highlighting the importance of maintaining this distinction.

The protection of separate legal personality shields shareholders and directors from personal liability for the company's actions, debts, and obligations. This protection encourages entrepreneurship and investment by limiting personal risk. In Mr. X's case, any potential legal exposure should be directed towards XYZ as a separate legal entity, rather than holding Mr. X personally liable. Unless exceptional circumstances like fraud or misconduct exist, shareholders and directors should not be held personally responsible for the company's liabilities.

Understanding and respecting the concept of separate legal personality is crucial in corporate law. It emphasizes that even if a company has a single shareholder and director, they remain distinct legal entities with their own rights and obligations. This recognition allows individuals and businesses to navigate legal disputes and contractual relationships with a clear understanding of the legal framework governing corporate entities.

Answer to the Question# 1(b)(i):

According to sub-section 1 of section 111 of the Company Act 1994, A Managing Director will be compensated for the loss of his office before expiration of his term except the situation of states have been described in sub-section 3 and second proviso of sub-section 4 in the followings:

- He has resigned from the position of the Managing Director in view of the reconstructions or amalgamation and is appointed as Managing Director resulting from reconstruction or amalgamation.
- Where the company is being winding up, whether by or subject to supervision of the court of voluntarily, provided the winding up was due to negligence or default of the Director.
- Where the Managing Director is guilty of fraud or breach of trust in relation to, or of gross negligence in, or gross mismanagement of, the conduct of the affairs of the company or any subsidiary or holding company thereof.
- Where the director has instigated, or has taken part directly or indirectly in bringing about, the termination of his office.
- In the event of the commencement of the winding up of the, whether before, or at any time within 12 months after, the date on which he ceased to hold Office, if the assets of the company on the winding up after deducting the expenses, thereof, are not sufficient to repay the shareholders the share capital including the premiums, if any, contributed by them.

According to the sub-section 4 of section 111, any compensation made to a Managing Director, shall not exceed the remuneration which he would have earned if he had been in the Office for the unexpired residue of his term or for three years, whichever is shorter and the remuneration shall be calculated on the basis of-

(a) the average remuneration received by him during the period of three years immediately preceding the date on which he ceased to hold that Office;
(b) where he held that office for a period of less than 3 years, the average remuneration received by him during the period for which he held the office.

In this case Mr. P was terminated as a matter of strategic move rather than a performance issue. Therefore, he is entitled to receive compensation for remaining 10 months i.e. Taka 20,00,000 x 10 months = 2,00,00,000/- for the loss of his office of the Managing Director

Answer to the Question# 1(b)(ii):

As per section 11(6) of the Companies Act 1994, a company by special resolution and subject to the approval of the Registrar of Joint Stock Companies and Firms, in writing may change its name. To change the name of the company, the following procedures to be followed:

Selection of a name

The availability of the new proposed name should be check on the website of RJSC. If the name is available, a name clearance should be obtained.

RJSC might reject the proposed name if the name falls under the following categories:

- if it is identical with or too nearly resembles, the name of an existing company;
- if it contains part or any abbreviation of the name of a government organization and any international organizations.

Board Meeting

A board meeting shall be held to approve the proposed name. In the same meeting, the board should also call an Extra Ordinary General Meeting as the matter requires approval of the shareholders.

Extra Ordinary General Meeting

In the general meeting a special resolution shall be passed approving the proposed name. A copy of the resolution passed in the meeting shall be filed with RJSC within 15 days of such meeting along with Form VIII.

Application to RJSC

An application shall be made to the Registrar approval to the proposed change of name.

Fresh Certificate

After approval of the new name, RJSC will issue a new certificate of Incorporation. However the registration number of the company will not change. The new certificate confirms the change of the name.

After RJSC issues the fresh certificate, the change shall be noted in the Memorandum and Articles of Association, all documents, letterheads, seal, sign board etc. The change shall be noted in the share certificate.

Licenses

The company shall get licenses, permits etc. amended by changing the new name for the old name therein.

Answer to the Question# 1(b)(iii):

As per section 11 (8) of the Companies Act 1994, the change of name will not change any rights or obligations of the company, or render defective any legal proceedings by or against the company; and any legal proceedings that might have been continued or commenced against it by its former name may be continued or commenced against it by its new name. Therefore, it is clear that the liabilities of a company do not ceases upon the changes of the name of the company and shall continue nevertheless. So right the parties mentioned here, shall not be anyway affected.

Answer to the Question# 2(a):

The Corporate Governance Code in Bangladesh, issued by the Bangladesh Securities and Exchange Commission (BSEC), plays a crucial role in ensuring ethical leadership, transparency, and accountability in corporate governance. Here are some key aspects of the code and relevant laws that help achieve these goals:

Ethical Leadership
Board Composition and Independence: The code mandates that at least one-fifth of the board members must be independent directors. Independent directors are expected to bring unbiased judgment and uphold ethical standards.

Qualifications of Directors: Directors, especially independent ones, must have a background in business, law, or economics, ensuring they are knowledgeable and capable of ethical decision-making.

Transparency
Disclosure Requirements: Companies are required to disclose financial and non-financial information regularly. This includes quarterly and annual financial statements, which must be audited by an independent auditor.

Audit Committee: The code requires the formation of an audit committee, which oversees the financial reporting process, ensuring transparency and accuracy in financial disclosures.

Accountability
Internal Control and Risk Management: Companies must establish robust internal control systems and risk management frameworks to prevent fraud and ensure accountability.

Auditor Independence: The code stipulates that auditors must be independent and free from any conflicts of interest. This is crucial for unbiased auditing and accountability.

Relevant Laws and Regulations
Securities and Exchange Ordinance, 1969: This ordinance provides the legal framework for securities regulation in Bangladesh and empowers the BSEC to enforce corporate governance code.

Companies Act, 1994: This act outlines the responsibilities and duties of company directors and auditors, reinforcing the principles of accountability and transparency.

By adhering to these guidelines and regulations, companies in Bangladesh can foster a culture of ethical leadership, transparency, and accountability, thereby preventing corporate scandals similar to Enron.

Answer to the Question# 2(b)(i):

Under securities laws and regulations, companies are required to disclose material information to the public in a timely and fair manner. Failure to do so can have significant legal and ethical ramifications. In the case of XYZ PLC, the management's decision to withhold material information about the effectiveness of their groundbreaking drug during clinical trials and engage in insider trading raises several concerns.

1. Legal Consequences:

    a. Violation of Securities Laws: By withholding material information and engaging in insider trading, XYZ PLC's management shall be violated the BSEC (Prohibition of trading by the insider) Rules 2022 , such as insider trading laws and regulations on disclosure of material information.

b. Regulatory Actions: Regulatory bodies, such as the Bangladesh Securities and Exchange Commission, may initiate investigations and impose fines, penalties or legal actions against XYZ PLC and its management for violation of disclosure requirements and engaging in insider trading.

2. Ethical Implications:

a. Fairness and Equal Access: By withholding material information, XYZ PLC's management denies other investors equal access to important information that could impact their investment decisions. This undermines the principles of fairness and equal opportunity in the financial markets.

b. Investor Confidence: Breaching disclosure principles erodes investor confidence in the company and the overall market. Investors rely on accurate and timely information to make informed investment decisions. Failing to disclose material information can lead to a loss of trust and credibility.

c. Market Integrity: The integrity of the financial markets depends on transparency and the fair dissemination of information. By engaging in insider trading based on undisclosed material information, XYZ PLC's management undermines market integrity and creates an unfair advantage for themselves.

In summary, breaching the principles on disclosure of material information and price-sensitive information, as illustrated in the hypothetical case of XYZ PLC, can result in legal consequences such as regulatory actions and penalties. It also raises ethical concerns related to fairness, equal access, investor confidence, and market integrity. Adhering to these principles is crucial for maintaining transparency, trust, and the overall integrity of the financial markets.

Answer to the Question# 2(b)(ii):

XYZ PLC fails to comply with the disclosure requirements, the Commission (Bangladesh Securities and Exchange Commission) can take the following actions against the company:

1. Imposing Financial Penalties: The Commission has the authority to impose monetary penalties on XYZ PLC for non-compliance with disclosure obligations. The amount of the penalty may vary depending on the severity of the breach and the impact on the market.
2. Suspension of Trading: In more serious cases, the Commission may suspend trading of XYZ PLC's shares on the stock exchange. This suspension aims to protect investors and maintain market integrity until the company fulfills its disclosure obligations.
3. Legal Proceedings: The Commission can initiate legal proceedings against XYZ PLC for non-compliance with disclosure requirements. This may involve filing a lawsuit or taking the matter to court, seeking appropriate legal remedies and sanctions.
4. Revocation of License: In extreme cases of repeated and severe non-compliance, the Commission may consider revoking XYZ PLC's license to operate as a publicly listed company. This action would effectively remove the company from the stock exchange and restrict its ability to conduct business activities.

Answer to the Question# 2(c)(i):

As per the directive of BSEC, listed companies are required to hold its AGM in a hybrid system both physical and virtual. However, the listed companies who has been operating as 'A' category over the last 5(five) years can hold its AGM virtually.

Since, in 2021 the bank was in 'Z' category, it failed to meet the criteria for holding AGM virtually.

Another complaint was raised regarding the casting of the votes before holding of the AGM. As per BSEC directive of conducting AGM, voting system shall be opened at least before 24(Twenty-four) hours but not over 72(Seventy-two) hours.

Since, following the due process the votes were casted on 29 May 2024, before 24 (twenty-four) hours, it assumed the casting of the votes duly.

BSEC has not given any further directives for validity of holding the AGM for noncompliance with any conditions issued by the commission. Hence, the commission's views can be considered in this regard. However, any aggrieved party can go the High Court for further directions.

Answer to the Question# 2(c)(ii):

As per the clause 82 of the Schedule I of the Companies Act, 1994, the company at its general meeting at which a director retires in a manner by rotation may fill in the vacated office by electing a person thereto.

As per the clause 83 of the Schedule I of the Companies Act, 1994, If at any meeting at which an election of directors ought to take place, the office of the vacating directors are not filled in, the meeting shall stand adjourned till same day in the next week and shall be held at the same time and place and if at adjourned meeting the offices of the vacating directors are not filled in, the vacating directors or such of them as have not had their office filled in shall be deemed to have been re-elected at the adjourned meeting.

Hence, the meeting shall be adjourned and meanwhile, nomination from the board shall be taken for the person eligible for electing a director in place of the vacated director. Otherwise, the vacated director shall be assumed reelected.

Answer to the Question# 3:

As per rules 5(1), an applicant for enlistment or renewal shall possess the following qualification:

(a) Must be a citizen and permanent resident of Bangladesh;
(b) Shall be a member of the relevant professional body;
(c) Where applicable, an up to date audit certificate of practice (COP) issued by the relevant professional accountancy body / institute as evidence of audit practice;
(d) Shall not have been convicted by a competent court of any criminal offense;
(e) Must be physically and mentally capable;
(f) Shall not be employed by any organization other than an audit firm registered with the Council or employed by a public interest entity or engaged in any business related to any interest that would interfere with the provision of independent service;
(g) Shall not stay or reside outside Bangladesh without permission of the council or shall not be punished for a consecutive period more than 6 months

Case	Descriptions	Possible Outcome as per rules
Mr. A, FCA	stayed outside Bangladesh more than 6 months without consent of the council and abstain himself from doing audit practice	Not eligible for renewal
Mr. B, FCA	Practicing member	Eligible for renewal
Mr. C, FCA	Practicing member and still in Bangladesh	Eligible for renewal
Mr. D, FCA	He may be considered good in terms of health and compliances.	If the commission thinks he is fine, eligible for renewal
Mr. E, FCA	He was arrested and jailed and currently freed under bail against a criminal case. Judgment yet to be completed	Eligible for renewal
Mr. F, FCA	He is a nonresident Bangladeshi and has no COP	Not eligible for enlistment

Renewal fees per branch	Taka 5000/- per branch x 2 = Taka 10,000/-	
Renewal fees for the Firm	Taka 7,500/-	Taka 7,500/-
	Total	Taka 17,500/-

Answer to the Question# 4(a)(i):

Among the four criteria as defined by Bangladesh Bank, Mr. Rahim meets the following two criteria to be declared as Willful Defaulting Borrower-

- Mr. Rahim misused the loan funds by using them for a purpose not disclosed to the bank.
- He accepted the loan under false pretenses by submitting fraudulent documentation.

Answer to the Question# 4(a)(ii):

Before declaring Mr. Rahim as Willful Defaulting Borrower, ABC Bank shall give opportunity to defend and if he fails to prove himself, the bank will send the list to Bangladesh Bank for further action within seven working days. He may file appeal to Bangladesh Bank within thirty days. If Bangladesh Bank confirms him as Willful Defaulting Borrower, Bangladesh Bank may advise the relevant authorities for imposing embargo on foreign traveling, issuing trade license, registering any concern with RJSC and BSEC.

Since, he is one of the directors of XYZ Bank PLC, his directorship shall be vacant immediately and he will not be eligible to become directors of bank or finance company within next five years.
Further, ABC Bank PLC will issue notice to pay the dues within two months and may file criminal suit to realize the dues with due approval from its board.

Answer to the Question# 4(a)(iii):

Yes, if ABC Bank PLC fails to do so as the act directed or Bangladesh Bank has reasons to believe that the bank has willingly do not do so in that case Bangladesh Bank may impose penalty not less than BDT fifty lac and not more than BDT one crore and for continued default BDT one lac fine for every day default additionally.

Answer to the Question# 4(b)(i):

The action taken by the Bangladesh Bank to rescind the existing board of weakly governed banks, including PQR Bank PLC, and to reconstitute the board by appointing independent directors is justified under the provisions of the Bank Companies Act, 1991. Specifically:

- Ensuring Good Governance: The Act emphasizes the importance of effective governance and management of banking companies to safeguard the interests of depositors and maintain public confidence in the banking system (Sections 45 and 46). By appointing independent directors, Bangladesh Bank aims to enhance oversight and accountability within the bank's management.
- Protection of Depositors' Interests: The Bangladesh Bank has the authority to intervene in banks where governance issues are identified that may jeopardize the interests of the depositors (Section 47). Restructuring the board to include independent experts helps align the bank's operations with regulatory standards and enhances the decision-making process.

However, the period of dissolution specified in and order under subsection (1) may from time to time be extended by the Bangladesh bank so, however, that the total period of suppression does not exceed two years.

Answer to the Question# 4(b)(ii):

As per the section 15(9), Bank Companies Act, 1991, under proviso it has been mentioned that before appointing independent director in the board authorization of Bangladesh Securities and Exchange Commission shall be obtained. Further as per Corporate Governance Code of BSEC, permission shall be required for appointing independent directors by the board.

In the both cases, permission shall be required if the appointment is made by the board. Bangladesh Bank as the primary regulator, can appoint any person to exercise all power and duties of the board during the period of suspension.

Answer to the Question# 4(c):

UPAS can provide an innovative solution for both Company X and Company Y. To address both parties' needs, the issuing bank will propose a 90-day UPAS L/C (Usance Payable At Sight Letter of Credit). This innovative solution allows Company X to benefit from a 90-day credit term while ensuring Company Y receives payment at sight.

Process:

1) **Issuance of UPAS L/C:** Company X will request the issuing bank to issue a 90-day UPAS L/C in favour of Company Y.
2) **Shipment and Document Presentation:** Company Y will ship the raw materials and presents the required documents to the discounting bank.
3) **Immediate Payment to Company Y:** The discounting bank will pay Company Y immediately upon verifying the documents, treating it as a Sight L/C.

4) **Deferred Payment by Company X:** Company X will enjoy a 90-day credit term from the issuing bank. At the end of the 90 days, Company X will repay the issuing bank, including any financing interest charged for the deferred payment.

Answer to the Question# 5:

To ensure compliance with the Finance Company Act 2023 while pursuing its investment and property acquisition strategies, Andramica PLC should follow these steps:

1) Investment Compliance

- **Investment Cap:** Verify that the planned investment of BDT 500 million in AgriTech Innovations Ltd. does not exceed 25% of Andramica PLC's paid-up capital and reserves. Since 25% of BDT 2 billion is BDT 500 million, the investment in AgriTech is within the permissible limit, however allocation of 500 million for acquiring property will exceed the 25% limit of paid-up capital.
- **Bank Consent for Higher Investment:** Accordingly, Andramica should apply for consent from the Bangladesh Bank to increase the limit to 50% of its paid-up capital and reserves. This would allow investments up to BDT 1 billion.

2) Property Acquisition Compliance

- Ownership Limitations: Ensure that any immovable property acquired is primarily for the company's operational use, such as office buildings.
- Disposal of Acquired Property: If Andramica PLC acquires immovable property through the realization of debts, it must plan to dispose of such property within three years unless an extension is granted by the Bangladesh Bank. For example, if the company acquires land, it should either use it for its headquarters or sell it within the stipulated period.

By following these steps, Andramica PLC can effectively expand its investment portfolio and manage property acquisitions while ensuring full compliance with the Financial Institutions Act 1993.

Answer to the Question# 6(a)(i & ii):

As per the section 62(1), Insurance Act, 2010, no insurer shall, in respect of life insurance business transacted by it in Bangladesh spend as expenses of management including commission or remuneration for procuring business in any calendar year an amount in excess of the prescribed limits and in prescribing any such limits regard shall be had to the size and age of the insurer and the provisions generally made for expenses of management in the premium rates of insurers:

	2,022			**2,021**		
Particulars	**Premium (BDT)**	**Limit (%)**	**Allowable expenses (BDT)**	**Premium (BDT)**	**Limit (%)**	**Allowable expenses (BDT)**
First year premium						
Single premium	16,331,591	5%	816,579.55	1,593,800	5%	79,690
Ten years	26,201,430	95%	24,891,359	1,076,614	95%	1,022,783
Eleven Years	22,078	95%	20,974	2,654,159	95%	2,521,451
Group insurance	16,237,135	15%	2,435,570	-	15%	
Renewal	2,330,196	25%	582,549	-	25%	
Twelve years	73,536,954	95%	69,860,106	-	95%	-
			98,607,138			**3,623,924**
Management expenses as per audited financials			114,510,989			10,823,743
Excess management expenses over limit (BDT)			**15,903,851**			**7,199,819**
Excess management expenses over limit (%)			**16.13%**			**198.67%**

Authority may, on an application made to it in this behalf, condone the contravention of this sub-section by an insurer who has, on reasonable grounds, spent, as such expenses an amount in excess of such limit.

Further as per the sub-clause (2), every insurer transacting life insurance business in Bangladesh shall incorporate in the revenue account a certificate signed by the Chairman and two Directors and by the Chief Executive Officer of the insurer, and an Auditor's certificate, certifying that all expenses of management in respect of life insurance business in Bangladesh have been fully debited in the revenue account as expenses.

Answer to the Question# 6(b):

Analysis under Section 58 of the Insurance Act of 2010

Section 58 of the Insurance Act of 2010 explicitly prohibits the payment or agreement to pay any commission or remuneration for procuring insurance business in Bangladesh to any person who is not a licensed insurance agent, employer of an agent, or broker. According to this section:

- **Prohibition on Unauthorized Payments**: It is illegal for any individual or entity to offer, pay, or contract to pay any form of remuneration or reward—whether as a commission or otherwise—for soliciting or procuring insurance business in Bangladesh unless the recipient holds a valid insurance license. Under this provision, Mr. P's arrangement with Mr. N, who is neither an agent nor licensed as a broker, is not permissible as it circumvents established regulatory requirements. Such agreements undermine the regulatory safeguards designed to ensure that only authorized professionals engage in soliciting insurance business, thereby making Mr. P's program illegal.
- **Restrictions on Renewal Commissions**: Section 58 also prohibits agents from receiving renewal commissions on life insurance business procured after their license expires unless the license is renewed as stipulated in Section 124. This reinforces the requirement that only licensed agents are eligible to receive commissions on an ongoing basis. As Mr. N is unlicensed, he is not legally eligible to receive any renewal commissions, making this aspect of Mr. P's agreement non-compliant with the Act.

Review of the 40% Special Commission Rate for Mr. P

The Insurance Act 2010 imposes limits on commission payments to insurance agents for life insurance business, specifically:

- **35% of the first year's premium**
- **10% of the second year's renewal premium**
- **5% of the subsequent years' renewal premiums**

These caps are designed to standardize compensation within the industry and prevent excessive commission rates that could impact policyholder premiums or create unfair competition. Given these regulations, the preferential 40% commission rate provided to Mr. P exceeds the maximum permissible limits under the Act. Allowing such a high commission rate is therefore considered illegal under these provisions.

Conclusion

The program Mr. P implemented to increase policy business, including the agreement with Mr. N and his 40% commission rate, is not compliant with the Insurance Act of 2010. Both the private referral agreement with Mr. N and the special commission rate awarded to Mr. P contravene statutory guidelines:

- **The agreement with Mr. N is invalid because he is neither a licensed agent nor broker, making it illegal for him to receive commissions for soliciting insurance business.**
- **The 40% commission rate exceeds the allowable limits for life insurance commissions as outlined in the Act.**

To ensure regulatory compliance, ABC Life Insurance Plc. should review Mr. P's commission structure and any third-party agreements in alignment with the Act's provisions, ensuring that only licensed agents or brokers are involved in soliciting business and that commission rates adhere to the legally defined maximums.

Answer to the Question# 7(a):

No, I do not agree with the CEO's viewpoint that offering a 10% incentive on net profit can serve as an alternative to the legally mandated Workers' Profit Participation Fund (WPPF). Compliance with the WPPF

requirement is a legal obligation under the Bangladesh Labour Act 2006 (amended in 2018) and the Bangladesh Labour Rules 2015, and it cannot be substituted by other forms of incentives or bonuses, no matter how generous. While it is commendable that our company offers substantial benefits to its employees, this does not exempt us from fulfilling the specific requirements of the law.

Answer to the Question# 7(b):

To address this compliance issue, I would recommend that the CEO and the Board establish a Workers' Profit Participation Fund and allocate the mandated 5% of net profit to it. To mitigate the financial impact of this new fund, we could consider adjusting the existing incentive structure. Specifically, we might reduce the current incentive bonus from 10% to 5%, thereby ensuring compliance without significantly increasing the company's financial obligations. This approach would enable us to comply with the legal requirements while continuing to offer substantial rewards to our employees.

Answer to the Question# 7(c):

According to section 234 of the labor rules, every 100% export oriented company shall establish a WPPF within 1 month of the date on which rules applicable. The company shall pay 5% net profit of the previous year within 9 months of the close of every year at the proportion of 80:10:10 to respectively the "WPPF", "Welfare Fund" and "Workers Welfare Foundation Fund'' established under section 14 of Bangladesh Workers Welfare Foundation Act 2006.

A board of trustee shall be formed with two members nominated by CBA (Collecting Bargaining Agent) and if there is no CBA, two members elected by the workers from amongst themselves and 2 members nominated by the management of the company of whom at least one shall be a person from accounts section of the company. The members of the Board of Trustee shall select for every year a person to be the Chairman of the Board.

---The End---